US reshuffles its 50% tariffs on Canadian goods ahead of the midterms

> The White House has taken a handful of Canadian products off its 50% tariff list and added others. Critics see the timing as aimed at the US midterm elections.

WHAT HAPPENED

- **Removed:** seaweed, packing boxes and some plywood sheets. **Added:** cocoa powder, vinyl flooring and shampoos, plus carpets, according to a trade lawyer.
- The changes take effect at the **end of October**. The trade lawyer says more items are being added than removed, so the immediate effect is small.
- Maine Senator Susan Collins says she secured exemptions for her state's blueberry, potato, apple and seaweed producers.
- Trump says a deal with Canada is "very close", but talks have been opaque since they broke down in August.

BY THE NUMBERS

50%
tariff on goods on the US list

C$27.6b
US imports covered by Canada's counter-tariffs

Mar 2025
first 25% US tariffs on Canadian steel and aluminium

Jun 2025
steel and aluminium tariffs raised to 50%

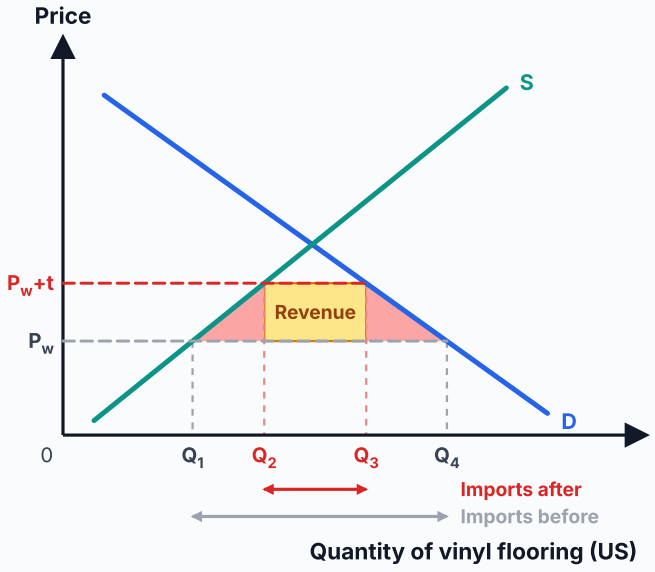
KEY TERMS

Protectionism: policies that shield domestic producers from import competition.

Tariff: a tax on imports that raises their domestic price.

Retaliation: counter-tariffs imposed by the targeted country.

DIAGRAM — What a tariff does to the US market for a good



Before the tariff, US buyers pay the world price P_w and import Q_1–Q_4.

The tariff lifts the price to P_w+t. US producers expand to Q_2, consumers cut back to Q_3, and imports shrink to Q_2–Q_3. The government collects the yellow revenue. The red triangles are **deadweight losses**.

Exam angle: product-by-product exemptions show the **political economy** of protection: the benefits are concentrated on a few producers, while the costs are spread across all consumers.

WINNERS AND LOSERS — Who gains and who loses from the reshuffle

Losers

- **US consumers** pay P_w+t and buy less
- **US firms** using taxed inputs face higher costs
- **Canadian exporters** lose sales

Winners

- **Protected US producers** sell more at a higher price
- **US government** collects tariff revenue
- **Exempted industries** (e.g. Maine seaweed) regain access

SYLLABUS LINK

TOPIC 1: protectionism. The reasons for and effects of tariffs, and trade disputes and retaliation between economies.

TRY THIS

Explain the effects of a tariff on domestic consumers, domestic producers and the government. Use a diagram. **(6 MARKS)**

Articles: CP24/CTV News, 'Trump to remove 50% tariffs on some Canadian goods: here's what we know', 23–24 Oct 2026 — https://cp24.com/news/world/2026/10/23/trump-to-remove-50-tariffs-on-some-canadian-goods-heres-what-we-know